

Commentary on Chapter 3

**You've got to be careful if you don't know where you're going,
'cause you might not get there.**

—Yogi Berra

Bull-Market Baloney

In this chapter, Graham shows how prophetic he can be. He looks two years ahead, foreseeing the “catastrophic” bear market of 1973–1974, in which U.S. stocks lost 37% of their value.¹ He also looks more than two decades into the future, eviscerating the logic of market gurus and best-selling books that were not even on the horizon in his lifetime.

The heart of Graham's argument is that the intelligent investor must never forecast the future exclusively by extrapolating the past. Unfortunately, that's exactly the mistake that one pundit after another made in the 1990s. A stream of bullish books followed Wharton finance professor Jeremy Siegel's *Stocks for the Long Run* (1994)—culminating, in a wild crescendo, with James Glassman and Kevin Hassett's *Dow 36,000*, David Elias' *Dow 40,000*, and Charles Kadlec's *Dow 100,000* (all published in 1999). Forecasters argued that stocks had returned an annual average of 7% after inflation ever since 1802. Therefore, they concluded, that's what investors should expect in the future.